

STAFFING SERVICES AGREEMENT

This Staffing Services Agreement (“Agreement”) is entered into by and between **Johnstone Supply**, having offices at **95 Halstead St, Rochester, NY 14610** (“Company”), and Nesco Resource LLC, a Delaware limited liability company with a principal place of business at 6140 Parkland Blvd, Mayfield Heights, OH 44124 (“Nesco”) and made effective as of 14th day of May, 2021 (“Effective Date”). This Agreement defines the terms, conditions and deliverables related to the recruiting and staffing services to be provided by Nesco for Company. The parties mutually agree as follows:

1. Services and Statements of Work. Nesco shall perform recruitment, temporary employee placement, direct hire placement and other staffing services (“Services”) as directed by Company and defined in one or more Statement(s) of Work (each a “Statement of Work”) signed by Company and Nesco from time to time. Statements of Work shall be in substantially the same form as the Statement of Work attached hereto as Exhibit A and shall, upon execution by both parties, be incorporated herein by reference. All such Statements of Work shall further include the following Services to be provided by Nesco, unless otherwise expressly excluded in a particular Statement of Work:

- a. Conducting initial consultations with Company’s human resources and risk management representatives to determine best practices for communicating human resource and risk and safety concerns to Company representatives and hiring managers in a timely manner.
- b. Presenting qualified candidates for Company’s consideration for assignment at Company.
- c. Managing the interview process with Company’s designated human resources representatives and presenting to Company a prospective temporary employee’s verbal acceptance of the position.
- d. Conducting reference, drug screening and background checks as requested by Company, as listed in the Statement of Work attached hereto as Exhibit A.
- e. Paying workers assigned to Company by Nesco (the “Assigned Employees”), making all proper payroll deductions, including income tax and Social Security tax deductions, required under state, federal, city, county and regional laws, and paying all applicable employment related taxes to the proper government agency or authority.
- f. Providing workers’ compensation coverage for Assigned Employees along with any employment related benefits lawfully required of the employer of the Assigned Employees.
- g. Complying with all provisions of the Affordable Care Act (the “ACA”) applicable to Assigned Employees, including the employer shared responsibility provisions relating to the offer of “minimum essential coverage” to “full-time” employees (as those terms are defined in Code §4980H and related regulations) and the applicable employer information reporting provisions under Code §6055 and §6056 and related regulations. The parties intend to satisfy the requirements of Treas. Reg. § 54.4980H-4(b)(2), under which an offer of group health plan coverage made by Nesco is treated as an offer of coverage by Company for all purposes of 26 U.S. Code § 4980H, provided that certain criteria are satisfied. Accordingly, Company agrees to pay Nesco, in addition to the rates set forth in the Statement of Work, a fee in the amount of \$0.05 for each hour worked by an Assigned Employee.
- h. Providing assistance to Company in the investigation and resolution of any complaints, claims, actions, or proceedings that may be brought by or that may involve Services.

2. Term and Termination. This Agreement shall commence on the Effective Date and shall continue thereafter until terminated pursuant to this Agreement. This Agreement may be terminated by either party for convenience upon thirty (30) days' written notice to the other party, such termination to become effective as of the date set forth in such notice. This Agreement may be terminated upon fourteen (14) days' prior written notice by either party if the other party materially breaches any of its covenants or obligations set forth in this Agreement.

3. Rates and Payment. Company shall pay Nesco the rates set forth in the applicable Statement of Work. Nesco shall submit weekly itemized invoices for the Services performed by Assigned Employees the previous week, which will include the number of hours worked, with sufficient detail to allow Company to review and confirm the Services performed and the number of hours worked. Company warrants the accuracy and completeness of all reported hours, time cards and other records provided to Nesco in connection with the Services provided by Assigned Employees. Nesco shall, at Company's request, provide Company with sufficient back-up information, including, without limitation, time cards approved by an authorized representative of Company, to allow Company to confirm the Services and hours covered by Nesco's invoices. The Company shall pay undisputed invoices for Assigned Employees employed by the Nesco no later than thirty (30) days of receipt. Company shall pay interest at the rate of 1.5% per month on all invoices not paid within thirty (30) days of Company's receipt. In the event Nesco hires an attorney or commences legal action to collect payment from Company, or to otherwise enforce its rights under this Agreement, Company shall pay Nesco's costs, expenses and reasonable attorneys' fees incurred in connection therewith.

4. Direct Hire Conversion Fee. If, within 1040 hours after the hire referral date, Company wishes to directly hire an Assigned Employee, Company shall provide written notice to Nesco and pay a direct hire conversion fee ("Conversion Fee") as set forth in the Statement of Work. Company shall pay invoices for direct hire conversion fees no later than thirty (30) days of receipt.

5. Assigned Employees. Temporary employees assigned to Company will at all times be employees of Nesco and will not be eligible to participate in any employment benefit plans or other conditions of employment available to Company's employees. Company will have the right to require Nesco to remove from any Company project any temporary employees objectionable to Company for any lawful reason.

6. Service Standards. The Assigned Employees shall perform all Services hereunder in a good and workmanlike manner consistent with industry standards for the type of Services provided.

7. Company Responsibilities: During the term of this Agreement, Company shall:

- a. Comply with all applicable laws, orders, rules and regulations with respect to its business, employees and the Services;
- b. Maintain day-to-day operational direction and control over the Assigned Employees;
- c. Properly train and supervise Assigned Employees in the performance of their work and be responsible for Company's business operations, products, services, and intellectual property;
- d. Properly supervise, control, and safeguard its premises, processes, and systems;
- e. Not permit Assigned Employees to operate any vehicle or mobile equipment without the prior written consent of Nesco;

- f. Not entrust Assigned Employees with unattended premises, cash, checks, keys, credit cards, merchandise, confidential, or trade secret information, negotiable instruments, or other valuables without Nesco's express prior written approval;
- g. Not change Assigned Employees' job duties without Nesco's prior written approval;
- h. Not make any offer or promise relating to Assigned Employees' compensation or benefits;
- i. Confirm the accuracy of all time cards and reported hours of the Assigned Employees and provide accurate records to Nesco for use in calculating wages owed to Assigned Employees;
- j. Refrain during the term of this Agreement, and for one year following the termination of this Agreement, from soliciting or hiring any employee of Nesco, except as permitted in accordance with the direct hire provisions of this Agreement; and
- k. Pay to Nesco any sales, value added, or other tax (collectively, "Sales Tax") properly imposed by a governmental authority in connection with the Services. Nesco shall timely remit all Sales Tax collected to the appropriate governmental authority.

8. Workplace Safety. Company shall provide all Assigned Employees with a safe work site and working conditions that comply with the Occupational Safety and Health Act of 1970, the Americans With Disabilities Act, and all applicable laws and regulations. Company shall ensure proper record keeping as required by law, including but not limited to OSHA 300 logs and training. Company shall properly train and supervise Assigned Employees and provide safety training and information (including regarding potential exposure to hazardous substances), instruction and supervision in an attended environment with appropriate internal safeguards. Nesco shall have the right, but not the obligation, to inspect, upon reasonable prior notice, the work site and work processes to assess any potential work site hazards to Assigned Employees, to conduct post-accident / incident investigations, and to audit Company's safety and training records. Company agrees to maintain and preserve all safety and training records for a minimum of five (5) years. Company shall promptly notify Nesco of any Assigned Employee accidents or incidents, whether or not resulting in injury or illness and provide Nesco with all relevant information and the right to conduct a timely post-incident site investigation. Company shall cooperate in any post-accident and post-incident investigation, including making witnesses and records available to Nesco and its representatives.

9. Direct Placements. For all direct hire employees placed by Nesco, Company shall pay Nesco a direct hire fee as set forth in the Statement of Work. Provided Company pays Nesco's direct hire fee within thirty (30) days of the employee's start date, Nesco shall provide a replacement employee at no additional charge to Company if (a) the employee voluntarily terminates his/her employment with the Company within thirty (30) days of the employee's start date; or (b) the Company terminates the employee's employment within thirty (30) days of the employee's start date, unless such termination is the result of an acquisition, merger, sale, reorganization, consolidation, elimination of the employee's position, or material change of the employee's job responsibilities.

10. Company Proprietary Information. Since the Services for which Nesco is engaged may include access to knowledge and information of a proprietary nature to Company, Nesco and its employees shall receive such knowledge and information in confidence and shall not, except as required in the conduct of Company's business, or as authorized in writing by Company, publish or disclose or authorize anyone else to publish, disclose, or make use of such information or knowledge unless and until such information or knowledge shall have ceased to be proprietary as evidenced by general public knowledge. Nesco and its employees shall, upon demand, promptly surrender any such information to Company.

11. Equal Employment Opportunity / Affirmative Action. During the term of this Agreement, neither party shall discriminate against any employee or applicant because of disability, race, color, religion, sex, sexual orientation, or national origin. It is the policy of Nesco and all its subsidiaries that all persons be provided equal employment opportunities regardless of race, color, sex, sexual orientation, age, religion, national origin, disability, veteran status or any other basis prohibited by law. To provide equal employment and advancement opportunities to all individuals, employment decisions by Nesco and Company will be based on merit, qualifications and abilities.

12. Background Checks and Drug Screening. In the event Company requires Nesco to conduct pre-employment background checks and/or drug screens, Nesco shall provide confirmation to Company that pre-employment background checks and drug screens have been conducted on all Nesco employees performing Services under this Agreement. In conducting the pre-employment background check, Nesco will abide by all applicable laws, rules and regulations, including, but not limited to Title VII of the Civil Rights Act of 1964, the Fair Credit Reporting Act and any equal opportunity laws, rules, regulations or ordinances.

13. Indemnity. Nesco shall defend, indemnify and hold harmless Company and its officers, directors and employees from and against all claims, demands, liabilities, fines, losses, damages, suits, judgments, costs and expenses, including reasonable attorney's fees (collectively, "Claims") arising out of:

- a. bodily injury, sickness, disease or death of any person or persons, or damage to or destruction of tangible property, to the extent caused by the negligent acts, errors or omissions of Assigned Employees during the course of performance of Services, except to the extent any such Claims arise out of (a) acts, errors or omissions of Assigned Employees acting at the direction or instruction of Company; or (b) the negligence, unlawful acts, or wrongful conduct of Company or its employees or agents; or
- b. a claim that the Materials (as defined below) or other work of Nesco infringes any patent, copyright, trademark, trade secret or other intellectual property right of any third party.

Company shall defend, indemnify and hold harmless Nesco and its officers, directors, managers, members and employees from and against all Claims for bodily injury, sickness, disease or death of any person or persons, or damage to or destruction of tangible property, to the extent caused by the negligence, unlawful acts, or wrongful conduct of Company or its employees, representatives or agents, except to the extent any such Claims arise out of the negligence, unlawful acts, or wrongful conduct of Nesco or its employees, representatives or agents.

14. Insurance. Throughout the term of this Agreement, Nesco shall maintain in full force and effect insurance of such types and in at least the respective minimum dollar coverage amounts as mandated by any federal, state or local law, including:

Commercial General Liability:

Aggregate Limit	\$2,000,000.00
Each Occurrence Limit	\$1,000,000.00

Automobile Liability – Hired and Non-Owned Coverage:

Combined Single Limit	\$1,000,000.00
-----------------------	----------------

Workers' Compensation

Employment Practices Liability:	<u>Statutory Limits</u> \$1,000,000.00
Umbrella:	\$2,000,000.00

Insurance shall be written with a carrier approved to do business in the state and carry an A.M. Best rating of at least A VIII. Nesco shall endeavor to provide Company days' written notice prior to the cancellation or material alteration of any such policy.

15. Limited Liability and Warranty Disclaimer. Company acknowledges and agrees that Nesco is not responsible for any aspects of the Assigned Employees' work or work product. Nesco shall provide supplemental staffing services only, and Company shall direct and supervise the Assigned Employees who perform work for Company. Nesco does not warrant or guarantee that its Assigned Employee(s) will produce any particular result or any solution to Company's particular needs, or perform services in any particular manner. Nesco shall not be liable for any claims, costs, expenses, damages, obligations or losses arising from or in connection with the acts or omission of any Assigned Employee, except for damages relating to a claim covered by Nesco's indemnity obligations set forth in this Agreement. Nesco shall not be responsible for the results from daily work done by the Assigned Employees, nor the conduct of Company's workforce. Neither party shall be liable to the other party for any consequential, indirect, special, or exemplary damages, regardless of the cause thereof, even if the likelihood of such damages was known to the party at the time of contracting.

EXCEPT AS SPECIFICALLY SET FORTH IN THE AGREEMENT, MAKES NO WARRANTIES, EXPRESS OR IMPLIED. EXPRESSLY DISCLAIMS ANY WARRANTIES OR REPRESENTATIONS, EXPRESS OR IMPLIED, OF ANY KIND OR NATURE WITH RESPECT TO THE SERVICES OR THE WORK PERFORMED BY ITS EMPLOYEES, INCLUDING, WITHOUT LIMITATION: FITNESS FOR ANY PARTICULAR PURPOSE; WORKMANSHIP; OR MERCHANTABILITY.

16. Work for Hire. All work product of every kind produced by any Assigned Employee on behalf of Company, developed under this Agreement and/or required to be delivered to Company under a Statement of Work hereunder shall be owned solely by Company and considered to be works made for hire (as that term is used in Section 101 of the United States Copyright Act, 17 U.S.C. § 101, as amended, or in analogous provisions of other applicable Laws) owned by Company (collectively, "Materials"). If any Materials may not be considered a work made for hire under applicable laws, Nesco shall and hereby does irrevocably assign to Company, without further consideration, all right, title and interest in and to United States and foreign copyrights in such Materials. Nesco represents and warrants that the Materials shall not infringe the patent, copyright or other intellectual property or proprietary right of any third-party and that Nesco and its employee(s) will obtain all necessary releases, licenses, permits and any other authorizations required to use any property or rights belonging to third parties for use in or with the Materials.

17. Waiver. Waiver by either party of any breach of these terms and conditions shall not be construed as a waiver of any other breach, and failure to exercise any right arising from any default hereunder shall not be deemed a waiver of such right which may be exercised at any subsequent time.

18. Notice. Any notice or other writing required by this Agreement shall be deemed to have been given when mailed by nationally recognized overnight courier, U.S. mail, postage prepaid, to the respective party's address as first listed above.

19. Subcontracting or Assignment. Nesco shall not subcontract, assign, or delegate any portions of the Services or any monies due hereunder without prior written approval of Company.

20. Independent Contractor. The relationship of Nesco and its employees to Company will be that of independent contractors and nothing set forth in this Agreement will be deemed or construed to render the parties as joint ventures, partners or employer and employee.

21. Force Majeure. Notwithstanding anything contained in the Agreement, neither party shall be liable to the other party, or any other party, or responsible for any failure to perform its obligations under this Agreement to the extent caused by circumstances beyond its reasonable control, including without limitation the unavailability of employees, labor disputes, labor shortages, fires, floods, wars, riots, or acts of God.

22. Severability. If any provision of this Agreement is held by a court of competent jurisdiction to be invalid, void or unenforceable in any manner, the remaining provisions of this Agreement shall nonetheless continue in full force and effect without being impaired or invalidated in any way.

23. Compliance with Laws; Governing Law. Nesco shall, in the performance of Services hereunder, fully comply with all applicable federal, state, and local laws, rules, regulations, or ordinances. This Agreement shall in all respects be interpreted under, and governed by, the laws of the State in which the Assigned Employees render the majority of their services on behalf of Company, including as to validity, interpretation and effect, without giving effect to that State's conflicts of laws principles.

24. Entire Agreement. This Agreement constitutes the entire agreement between the parties regarding the subject matter hereof, and it supersedes and replaces all prior or contemporaneous understandings or agreements, written or oral, regarding such subject matter. This Agreement may not be modified or waived in whole or part, except in writing and signed by an officer or duly authorized representative of both parties.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

Company: **Johnstone Supply**

Nesco Resource LLC

Name: _____

Name: _____

Signature: _____

Signature: _____

Title: _____

Title: _____

Date: _____

Date: _____

EXHIBIT A

Statement of Work

This Statement of Work is dated as of 14th day of May, 2021 and is entered into and subject to that certain Staffing Services Agreement (“Agreement”), dated as of 14th day of May, 2021, by and between **Johnstone Supply** (“Company”) and Nesco Resource LLC (“Nesco”). This Statement of Work shall be effective upon execution by both parties.

1. Job Title or Skill Category:	Mark-Up Rate
Light Industrial	49%
Administrative / Clerical	49%
N/A	0%
N/A	0%
N/A	0%
N/A	0%

Mark-Up is defined as Employee Pay rate times Mark-Up rate. Example: \$12.00 pay rate times 1.55 markup equals a \$18.60 bill rate

The parties agree that overtime means hours worked by temporary employees in excess of forty (40) hours per week, or as otherwise required by law.

2. Direct Placement Fee %: 20%

3. Direct Hire Conversion Fees:

If the temporary employee has been providing or provided Services to Company for:

0 - 160 hours (as of date of notice)	20% of annual salary
161 - 320 hours (as of date of notice)	17% of annual salary
321 - 480 hours (as of date of notice)	14% of annual salary
481 - 680 hours (as of date of notice)	11% of annual salary
681 - 840 hours (as of date of notice)	8% of annual salary
841 - 1040 hours (as of date of notice)	5% of annual salary
More than 1041 hours	0% of annual salary

4. Miscellaneous: N/A

IN WITNESS WHEREOF, the parties have executed this Statement of Work as of the day and year first above written.

Company: **Johnstone Supply**

Nesco Resource LLC

Name: _____

Name: _____

Signature: _____

Signature: _____

Title: _____

Title: _____

Date: _____

Date: _____